

Journal Entries and Posting (Exercise)

Stefan opens a tutoring business called BestTutoring and had the following transactions in its first month of operations.

1. The owner invested \$90,000 cash and office equipment valued at \$20,000 in the company in exchange for common stock.
2. The company prepaid \$8,000 cash for 12 months' rent for office space.
3. The company made credit purchases for \$7,000 in office equipment and \$4,000 in office supplies. Payment is due within 30 days.
4. The company completed services for clients and immediately received \$5,000 cash.
5. The company completed a \$7,000 project in a local school, which must pay within 30 days.
6. The company paid \$11,000 cash to settle the account payable created in transaction 3.
7. The company paid \$4,800 cash for the premium on a 12-month insurance policy.
8. The company received \$5,000 cash as partial payment for the work completed in transaction 5.
9. The company completed work for another client for \$3,000 on credit.
10. The company paid \$4,000 cash in dividends.
11. The company purchased \$700 of additional office supplies on credit.
12. The company paid \$500 cash for this month's utility bill.